

Port of NY/NJ | Why it anchors the Shallow Bay thesis

H1 2026 volume confirms the port's scale as the East Coast's leading gateway — the demand engine behind Faropoint's infill, shallow-bay industrial strategy in Northern New Jersey. Source: Cushman & Wakefield, *H1 2026 Port of New York & New Jersey Report*.

RANK

No. 1

Busiest port on the East Coast

H1 2026 TOTAL VOLUME

4.4M TEUs

+0.2% YoY · No. 3 nationally

GOODS MOVED (2024)

\$264B

Value of cargo through the port

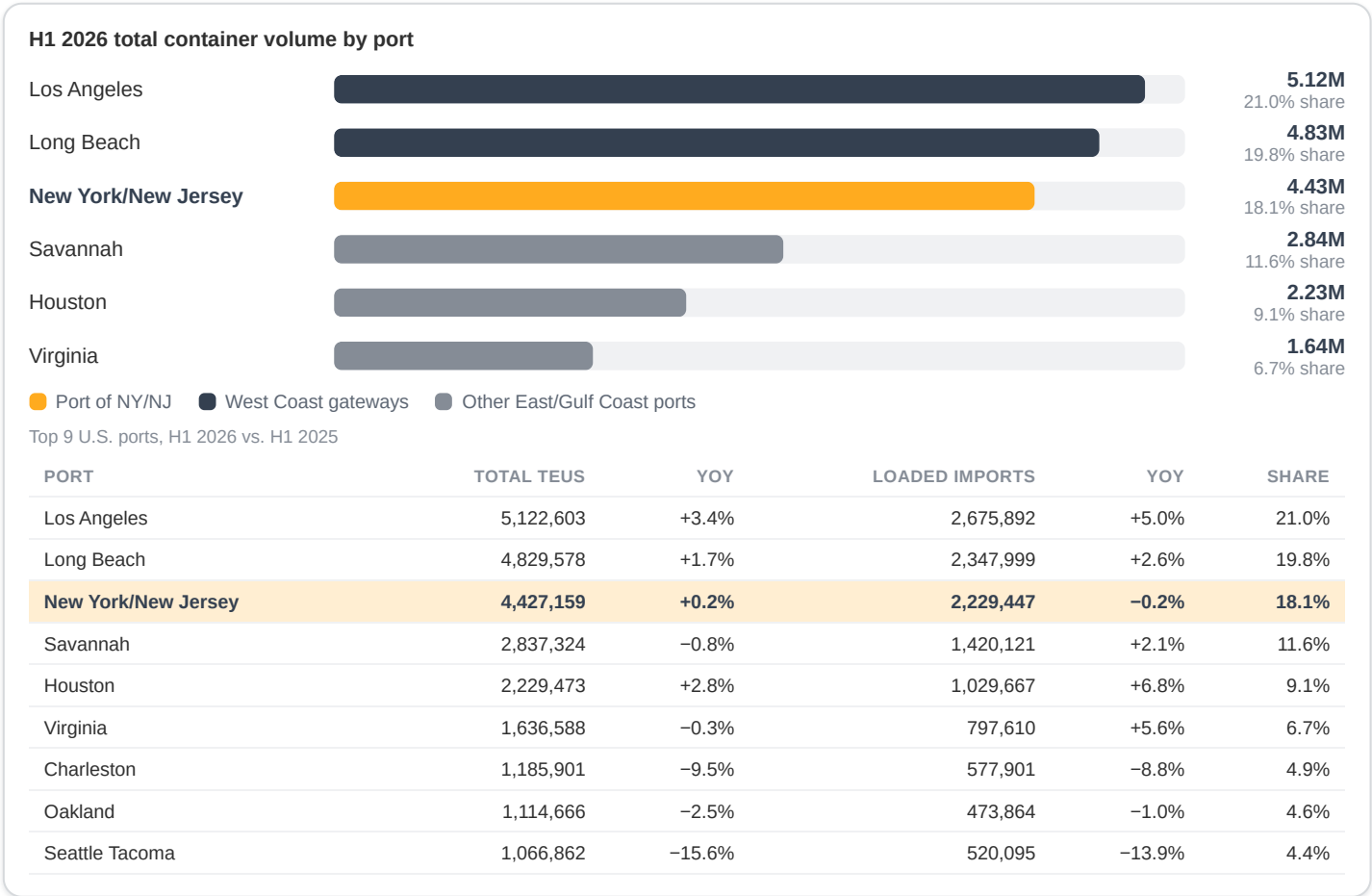
RAIL CARGO, H1 2026

341,671

Containers moved by rail

A top-3 gateway, gaining loaded import share

Port of NY/NJ is 1 of only 3 U.S. ports to post more than 2.0M TEUs of loaded import cargo in H1 2026 — and holds 18.1% of top-nine-port volume.



Diverse, durable trade base. The port serves more than 60 million consumers within a 250-mile radius — roughly one-third of U.S. GDP — via a diversified partner base (China, India, Italy, Germany, France) that mitigates any single-lane disruption. The Port Authority is investing to sustain this scale: a U.S. Army Corps of Engineers agreement to evaluate deepening channels to 55 feet, plus a redevelopment of the Newark-Elizabeth complex's northern entrance.

Port Region | Where port volume becomes real estate demand

The Port Region is the largest industrial submarket in Northern New Jersey — and the clearest illustration of why infill, shallow-bay space commands a premium closest to the port.

PORT REGION INVENTORY

84.1 msf

Largest warehouse submarket in Northern NJ

H1 2026 LEASING

1.9 msf

▲ +9.8% YoY

VACANCY RATE

12.5%

▲ +110 bps QoQ · new supply-driven

PORT REGION ASKING RENT

\$18.85/SF

Highest in New Jersey — 13.0% above market

Asking rent hierarchy, Port Region vs. NJ

Port Region · Class A



\$21.69
+7.1% YoY

Port Region · overall



\$18.85
+13.0% vs. NJ

NJ market average



~\$16.68
derived

■ Port Region · Class A ■ Port Region · overall ■ NJ market average

NJ market average of ~\$16.68/SF is derived from the stated 13.0% Port Region premium. Class A rent +7.1% YoY despite rising overall vacancy — modern, well-located space keeps pricing power.

Notable H1 2026 leasing

Ready Warehousing & Logistics — 92,000 SF new lease, 100 Lincoln Highway, Kearny

iCube Global — +78,142 SF expansion, 169 Pulaski St, Bayonne (adds to a 255,069 SF 2025 lease)

HelloFresh — 352,100 SF renewal, 60 Lister Ave, Newark

YTD renewal volume: **832,008 SF**, +24.5% YoY

Why shallow bay is insulated from the supply wave

1 Port scale holds

4.4M TEUs, #1 East Coast gateway, rising trucking costs push tenants to prioritize drayage-efficient, near-port locations.

2 Big-box supply overshoots

Nearly 1.0 msf of new vacant space (large-format deliveries) pushed Port Region vacancy up 110 bps to 12.5% in Q2.

3 Demand for space stays real

Leasing still up 9.8% YoY and Class A rent up 7.1% — the vacancy rise is a supply story, not a demand story.

4 Shallow bay can't be overbuilt

Small-bay product (<100K SF) runs ~4.8% vacant nationally — infill land scarcity caps new supply where big-box cannot.

Step 4 national small-bay vacancy benchmark: CBRE / Cushman & Wakefield industrial research, distinct from the Port Region figures above (which blend all warehouse sizes).

Faropoint's position on the ground

- \$328M** Jul 2025 · NJ, GA, FL, TX, PA
Acquired a 30-building, 1.8M SF shallow-bay portfolio from Mapletree.
- 79,000 SF** Rockaway & Morris County, NJ
Grew the Morris County shallow-bay footprint via a JLL-brokered acquisition from NJDG.
- ~\$17M** Bergen County, NJ
Joint-venture acquisition of roughly 73,000 SF of shallow-bay industrial space.
- \$273M** Jan 2026 · Portfolio financing
Secured a refinance loan against the shallow-bay portfolio.

Sources: Cushman & Wakefield *H1 2026 Port of New York & New Jersey Report*; CBRE / Cushman & Wakefield national small-bay research; GlobeSt, Real Estate NJ, ConnectCRE, NJBIZ, Small Bay List, CompStak.

The Shallow Bay thesis | Six structural drivers, not one

Port proximity is one input, not the whole case. The format's durability comes from land economics, tenancy structure and ownership fragmentation that hold regardless of any single trade cycle.

1 Last-mile, not just port-adjacent

Final-mile parcel and distribution demand is driven by dense population and same-day delivery expectations — a driver independent of ocean-freight cycles.

2 Land that can't be replaced

Zoning, entitlement and land cost in built-out metros make new shallow-bay supply structurally scarce. National vacancy for buildings under 100K SF: ~4.8%.

3 Granular, diversified tenancy

Dozens of small, service-oriented tenants per roll — trades, light manufacturing, distribution — spread credit and re-tenanting risk versus one large user.

4 Rents mark to market faster

Shorter average lease terms and below-market in-place rents let owners reprice more often than in single-tenant bulk assets.

5 Fragmented ownership, our entry point

Most shallow-bay stock is owned by private, often unlevered individual owners — a durable acquisition pipeline with limited institutional competition.

6 Demand from more than one source

Population growth, reshoring of light manufacturing and local service businesses all draw on the same infill space — insulating it from any single macro shock.

How goods move from the port to shallow-bay pockets

Ocean freight is only one of two inflows reaching the format — local trade and population-driven demand feed the same last-mile layer without ever touching a container.

